

SEC NUMBER 013039  
FILE NUMBER \_\_\_\_\_  
PSE CODE \_\_\_\_\_

**PACIFICA HOLDINGS, INC.**

(Company's Full Name)

**Chinabank Corporate Center, Lot 2  
Samar Loop corner Road 5  
Cebu Business Park, Brgy. Mabolo, Cebu City**

(Company's Address)

**(632) 637-8851**

(Telephone Number)

**December 31**

(Calendar Year Ended)

**SEC FORM 17-Q**

Form Type

(Amendment Designation (If Applicable))

**September 30, 2025**

(Period Ended Date)

(Secondary License Type and File Number)

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES  
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended September 30, 2025
2. Commission identification number 013039 3. BIR Tax Identification No. 000-484-693  
**PACIFICA HOLDINGS, INC**
4. Exact name of issuer as specified in its charter  
**Manila, Philippines**
5. Province, country or other jurisdiction of incorporation or organization
6. Industry Classification Code:  (SEC Use Only)  
**China Bank Corporate Center**  
**Lot 2, Samar Loop corner Road 5**  
**Cebu Business Park, Brgy. Mabolo, Cebu City** **6000**
7. Address of issuer's principal office Postal Code  
**(032) 260-0005**
8. Issuer's telephone number, including area code  
**PACIFICA, INC. / c/o Manila Harbour Center, R-10, Vitas, Tondo, Manila / June 2020**
9. Former name, former address and former fiscal year, if changed since last report
10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA
- | <u>Title of Each Class</u> | <u>Number of Shares of<br/>Common Stock Outstanding</u> |
|----------------------------|---------------------------------------------------------|
| Common Shares              | 325,000,000                                             |
11. Are any or all of the securities listed on a Stock Exchange?  
Yes [ / ] No [ ]  
If yes, state the name of such Stock Exchange and the class/es of securities listed therein:  
**Philippine Stock Exchange** **Common shares**
12. Indicate by check mark whether the registrant:
- (a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)  
Yes [ / ] No [ ]
- (b) has been subject to such filing requirements for the past ninety (90) days.  
Yes [ / ] No [ ]

## **PART I--FINANCIAL INFORMATION**

### **Item 1. Financial Statements.**

The Financial Statements attached are the balance sheets as of September 30, 2025 and December 31, 2024, and the related statements of comprehensive operations, changes in stockholders' equity and cash flows for the current financial year to date, with comparative statements for the comparable year-to-date period of the immediately preceding financial year.

**The interim financial reports are prepared in compliance with generally accepted accounting principles.**

### **Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations.**

#### **(1) Plan of Operation**

Pacifica Holdings, Inc. (the "Corporation") was incorporated on September 2, 1957 to engage in the exploration, drilling and exploitation of oil, gas and other volatile substances. Its conversion into a holding company in October 6, 2000 did not result to any commercial operation due to timing and funding constraints.

In 2007, the Corporation redirected its business focus to exploration, operation, management and marketing of mining claims. Pursuant thereto, the SEC on August 31, 2007 approved its Amended Articles of Incorporation reverting its primary purpose to mineral exploration, extending the corporate life for another 50 years and changing the par value from 1.00 to 0.005.

The foregoing events are vital to permit the Corporation to engage in mineral exploration and development and other business opportunities within its purposes as may be identified by the Company.

After the Corporation renewed its corporate life in 2007 with its primary purpose as a mining company, the management started looking for mining opportunities. During the stockholders' meeting on August 14, 2009, it was approved that the Corporation shall enter an Operating Agreement with Zam-Iron Mining Corporation (Zam-Iron) granting the Corporation the exclusive right to explore, utilize and develop the Kabasalan Mining Rights for the purpose of extracting mining products. In consideration for the rights granted by Zam-Iron, the Corporation will pay Zam-Iron royalties at a stipulated price. The loan of P50 million extended by the Corporation to Zam-Iron on January 2, 2008 was applied as advanced royalty payments. Moreover, the management is continuously looking for mining opportunities and negotiating for possible investors and technical partners.

The Corporation lost its bid for Ilijan and Malaya power plants to its opponents while in the others, the bidding process was indefinitely deferred. Despite the downturns, the Corporation does not close its doors to business opportunities in power related activities.

On November 15, 2013, Zam-Iron Mining Corp. (Zam-Iron) informed the Corporation that it received a letter from the Mines and Geosciences Bureau IX stating that its office has issued an Order of Denial for mining exploration with finality. Zam-Iron's next recourse was to file an appeal to the Mines and Geosciences Bureau central office in Manila. To date, no update was given by Zam-Iron to the Company regarding the status of their application and operations.

On November 22, 2013, the Corporation informed Zam-Iron that insofar as it is concerned, Zam-Iron has failed to fulfill its obligations under the Memorandum of Agreement (MOA) signed on January 2, 2008 and Operating Agreement signed in December 2009 and is deemed in default. The Corporation demanded for the full refund of P50,000,000 prepaid royalties with interest and waived its right in the event of default to take over the operation and production of the mining operation since Zam-Iron failed to secure the necessary exploration permit.

On August 28, 2015, given that the recovery of the Corporation's receivables within the next 12 months has been deemed remote, the Board of Directors of the Corporation unanimously approved the impairment and write-off of the following items from its books of accounts: (1) accounts receivable from 9th Kingdom Investments, Inc., (2) advances to Mikro-Tech Capital, Inc; (3) prepaid royalties in favor of Zam-Iron Mining Corporation, (4) accounts receivables from LRSI and Stradec, and (5) retained deficit. This was ratified by the stockholders during the Corporation's annual stockholders' meeting on October 16, 2015.

On November 26, 2019, the SEC approved the following amendments to the Corporation's Articles of Incorporation:

(a) amendment of the Title and First Article to change the name of the Corporation from Pacifica, Inc. to Pacifica Holdings, Inc.;

(b) amendment of the Second Article to: (i) change the primary purpose of the Corporation to reflect that of a holding company, (ii) to include the power to guarantee as among the Corporation's secondary purposes, and (iii) to align such secondary purposes to the business of the Corporation as a holding company;

(c) amendment of the Third Article to change the principal address of the Corporation from Manila to China Bank Corporate Center, Lot 2, Samar Loop corner Road 5, Cebu Business Park, Brgy. Mabolo, Cebu City;

(d) amendment of the Seventh Article of the Articles of Incorporation: (i) increasing the par value of the common shares of stock of the Corporation from Php 0.005 per share to Php 1.00 per share, resulting in a decrease of the common shares of the Corporation then outstanding from 40 billion shares to 200 million shares; and (ii) increasing the authorized capital stock of the Company from Php200 million divided into 200 million shares with par value of Php 1.00 per share to Php700 million divided into 700 million shares with par value of Php 1.00 per share, or an increase in the authorized capital stock of Php 500 million.

For the third quarter ending September 30, 2025 and calendar year ending December 31, 2024, the Corporation experienced net losses amounting to Php 208,404 and Php 4,436,694, respectively, attributed to administrative expenses incurred.

Losses in 2023, 2022 and 2021 are also attributed to expenses of administrative nature.

#### ***Key Performance Indicators of the Company***

Since the Company has no commercial operation to date and has not generated revenues for the current period ending September 30, 2025 and fiscal years ending December 31, 2024 and 2023, it posted losses. Losses for the current period being reported and fiscal years December 31, 2024 and 2023 are attributed to administrative expenses incurred. The table sets forth the comparative key performance indicators of the Company for the current interim period with comparative figures for the periods ending September 30, 2025 and 2024, December 31, 2024 and 2023:

|                                          | September 30,<br>2025 | December 31,<br>2024 | September 30,<br>2024 | December 31,<br>2023 |
|------------------------------------------|-----------------------|----------------------|-----------------------|----------------------|
| Total Revenues                           | 0                     | 0                    | 0                     | 0                    |
| Net Loss                                 | 208,404               | 4,436,694            | 1,932,190             | 1,627,220            |
| Total Current Assets                     | 104,227,240           | 105,676,143          | 106,949,045           | 109,586,235          |
| Other Non-Current Assets                 | 0                     | 0                    | 0                     | 0                    |
| Plant, Property and Equipment            | 0                     | 0                    | 0                     | 0                    |
| Total Assets                             | 104,227,240           | 105,676,143          | 106,949,045           | 109,586,235          |
| Current Liabilities                      | 2,144,322             | 2,154,321            | 922,719               | 1,627,719            |
| Stockholders' Equity                     | 102,082,918           | 0                    | 106,026,326           | 107,958,516          |
| Total Liabilities & Stockholders' Equity | 104,227,240           | 103,521,822          | 106,949,045           | 109,586,235          |
| Current Ratio                            | 48.606                | 105,676,143          | 115.906               | 67.325               |
| Solvency Ratio                           | 0.0206                | 49.053               | 0.009                 | 0.015                |
| Debt to Equity Ratio                     | 0.0210                | 0.020                | 0.0087                | 0.0151               |

(a) Net loss for the quarter ending September 30, 2025 resulted to Php 208,404 or by a Php 269,369 decrease from last year of the same period.

(b) Stringent controls are utilized on incurring expenses. Management maintains a generally cautious stance in identifying mining opportunities in order to maximize the Corporation's gross margin.

(c) *Working Capital Ratio or Current Ratio* – This will measure how liquid the corporation is and its ability to meet its current obligations. It is computed by dividing total current assets with the total current liabilities.

(d) *Debt Management Ratio or Solvency Ratio* – This is computed by dividing the total liabilities by the total assets.

(e) *Debt Equity Ratio* – This will explain the relationship between how the assets were financed by the Corporation's creditors and its stockholders. This is computed by dividing the total liabilities over the stockholders' equity.

By comparing accounts in the Balance Sheets and Statements of Operations for the interim period ending September 30, 2025 with comparable data for December 31, 2024 and interim period from preceding year, the following are the material changes and their causes:

### **Changes in Financial Condition**

#### **(a) Current Assets**

The decrease of Current Assets, as of September 30, 2025 and December 31, 2024 is due to the administrative expenses paid during the period.

#### **(b) Input Taxes**

Input taxes have increased during the period because of fees paid to professionals.

#### **(c) Property and Equipment**

There have been no acquisition of property and equipment in 2025, 2024 and 2023.

#### **(d) Current Liabilities**

The current liabilities decreased to Php 2,144,322 as of September 30, 2025 primarily due to payment of accruals of professional fees.

#### **(e) Deficit**

Comprehensive losses as of September 30, 2025 and for calendar years ending December 31, 2024 and 2023 contribute to the Deficit. These losses are attributable to administrative expenses.

### **Changes in Operating Results**

The Corporation has not yet started commercial operations as of September 30, 2025. On 26 November 2019, the SEC approved the certain amendments to the Corporation's Articles of Incorporation including the amendment of the Second Article to: (i) change the primary purpose of the Corporation to reflect that of a holding company, (ii) to include the power to guarantee as among the Corporation's secondary purposes, and (iii) to align such secondary purposes to the business of the Corporation as a holding company.

Net loss for the quarter ending September 30, 2025 resulted to Php 208,404 or by a Php 269,369 decrease from last year of the same period given the administrative expenses incurred during the recent quarter. Compared to the December 31, 2024 performance, the net loss during the recent quarter is an decrease by 4,228,290 due to administrative expenses incurred. Net loss for the period ending December 31, 2023 materially decreased from 2022 of the same period due to interest income earned from a loan to a related party.

## Material Events and Uncertainties

For the interim periods, the Corporation has nothing to report on the following other than the disclosures mentioned in the notes to financial statements and discussed above:

- (i) Any known trends, demands, commitments, events or uncertainties that will result in or that are reasonably likely to result in the Corporation's liquidity increasing or decreasing in any material way.
- (ii) Events that will trigger direct or contingent financial obligation that is material to the Corporation, including any default or acceleration of obligation. The Corporation is not in default or in breach of any note, loan, lease or other indebtedness or financing arrangements requiring it to make payments. The Company has no trade payables and there is no significant amount in its other payables that has not been paid within the stated terms.
- (iii) Material off-balance sheet transactions, arrangements, obligations (including contingent obligations) and other relationships of the Corporation with unconsolidated entities or other persons created during the reporting period. - A disclosure is made in Notes 11 and 12 to Financial Statements and in the Company plan of operation.
- (iv) Any material commitment for capital expenditures.
- (v) Any known trends, events or uncertainties that have had or that are reasonably expected to have a material favorable or unfavorable impact on net sales/revenues, income from continuing operations.
- (vi) Any significant elements of income or loss that did not arise from the issuer's continuing operations.
- (vii) Any seasonal aspects that had a material effect on the financial condition or results of operations.

## PART II – OTHER INFORMATION

Other than the additional disclosures discussed below, there are no information not disclosed in SEC Form 17-C prior to preparation of this report:

- i. The discussion in item 11 of the Notes to Financial Statements shall be consistent for the interim period being reported. The Company's financial instruments still pertain to cash, advances to related parties, accounts payable and accrued expenses resulting from Company's operations. The main purpose of these financial instruments is to fund the Company's administrative costs while it has no commercial operations yet.
- ii. The discussion on item 2 of the Notes to Financial Statements as to Amendments to PAS 1, *Presentation of Financial Statements*, shall be consistent for the interim period being reported. As the Company has no other comprehensive income, the Company has elected to present one statement of comprehensive income.
- iii. The same accounting policies and methods of computation are followed in the interim financial statements as compared with the most recent annual financial statements.
- iv. The Company has no significant seasonality or cyclicity in its business operations that would have a material effect on the financial condition or results of operations.
- v. There are no items affecting assets, liabilities, equity, net income, or cash flows that are unusual because of their nature, size or incidents.

- vi. There are no changes in estimates of amounts reported in prior interim periods of the current financial year or changes in estimates of amounts reported in prior financial years.
- vii. There are no issuances, repurchases, and repayments of debt and equity securities this interim period.
- viii. There are no dividends paid (aggregate or per share) separately for ordinary shares and other shares.
- ix. Segment reporting is not applicable to the Company.
- x. There are no material events subsequent to the end of the interim period that have not been reflected in the unaudited financial statements for the interim period.
- xi. There is no effect in changes in the composition of the issuer during the interim period, including business combinations, acquisitions or disposal of subsidiaries and long-term investments, restructurings, and discounting operations.
- xii. There are no changes in contingent liabilities or contingent assets since the last annual balance sheet.
- xiii. There are no material contingencies and any other events or transactions that are material to an understanding of the current interim period.

**PACIFICA, INC.****BALANCE SHEETS**

September 30, 2025 (Unaudited) and December 31, 2024 and 2023 (Audited)

|                                           | Unaudited<br>September 30,<br>2025 | Audited<br>December 31,<br>2024 | Audited<br>December 31,<br>2023 |
|-------------------------------------------|------------------------------------|---------------------------------|---------------------------------|
| <b>ASSETS</b>                             |                                    |                                 |                                 |
| <b>Current Assets</b>                     |                                    |                                 |                                 |
| Cash in banks (Note 6)                    | 4,410,661                          | 6,028,883                       | 6,028,883                       |
| Advances for Liquidation (Note 7)         | -                                  | -                               | -                               |
| Input taxes (Note 7)                      | 169,319                            | -                               | -                               |
| Due from related parties                  | 99,647,260                         | 99,647,260                      | 99,647,260                      |
| <b>Total Current Assets</b>               | <b>104,227,240</b>                 | <b>105,676,143</b>              | <b>105,676,143</b>              |
| <b>TOTAL ASSETS</b>                       | <b>104,227,240</b>                 | <b>105,676,143</b>              | <b>105,676,143</b>              |
| <b>LIABILITIES AND EQUITY</b>             |                                    |                                 |                                 |
| <b>Current Liabilities</b>                |                                    |                                 |                                 |
| Accrued expenses and other liabilities    | 2,144,322                          | 2,154,321                       | 1,627,719                       |
| Due to a related party (Note 12)          | -                                  | -                               | -                               |
| <b>Total Current Liabilities</b>          | <b>2,144,322</b>                   | <b>2,154,321</b>                | <b>1,627,719</b>                |
| <b>Non-current Liabilities</b>            |                                    |                                 |                                 |
| Deposit for future stock subscription     | -                                  | -                               | -                               |
| <b>Total Non-current Liabilities</b>      | <b>-</b>                           | <b>-</b>                        | <b>-</b>                        |
| <b>Total Liabilities</b>                  | <b>2,144,322</b>                   | <b>2,154,321</b>                | <b>1,627,719</b>                |
| <b>Equity</b>                             |                                    |                                 |                                 |
| Capital stock – 1.00 par value ( Note 13) |                                    |                                 |                                 |
| Authorized –700,000,000 shares            |                                    |                                 |                                 |
| Issued – 199,825,000                      |                                    |                                 |                                 |
| Subscribed – 125,175,000                  | 324,883,332                        | 324,883,332                     | 324,883,332                     |
| Additional paid-in Capital                | 10,163,756                         | 10,163,756                      | 10,163,756                      |
| Deficit                                   | (232,964,170)                      | (231,525,266)                   | (227,088,572)                   |
| <b>Total Equity</b>                       | <b>102,082,918</b>                 | <b>103,521,822</b>              | <b>107,958,516</b>              |
| <b>TOTAL LIABILITIES AND EQUITY</b>       | <b>104,227,240</b>                 | <b>105,676,143</b>              | <b>109,586,235</b>              |

See accompanying Notes to Financial Statements.



**PACIFICA, INC.****STATEMENTS OF COMPREHENSIVE INCOME**

For the 9 months period ended September 30, 2025, 2024 and 2023 (Unaudited)

|                                          | 9 mos.<br>Jan-Sep, 2025 | 9 mos.<br>Jan-Sep, 2024 | 9 mos.<br>Jan-Sep, 2023 |
|------------------------------------------|-------------------------|-------------------------|-------------------------|
| <b>INCOME</b>                            |                         |                         |                         |
| Interest income (Note 9)                 | 1,808                   | 3,322                   | 4,870                   |
|                                          | 1,808                   | 3,322                   | 4,870                   |
| <b>EXPENSES</b> (Note 10)                |                         |                         |                         |
| Professional fees                        | 1,149,912               | 900,221                 | 1,175,141               |
| Membership, association dues and fees    |                         |                         |                         |
| Transportation and travel                |                         |                         | 6,697                   |
| Taxes and licenses                       | 269,486                 | 869,319                 | 1,021,165               |
| Printing and supplies                    | 8,314                   | 19,753                  | 56,384                  |
| Communication                            | 13,000                  | 105,028                 | 9,000                   |
| Courier                                  |                         |                         | 166                     |
| Others                                   |                         | 41,191                  |                         |
|                                          | 1,440,712               | 1,935,512               | 2,268,553               |
| <b>NET LOSS</b>                          | 1,438,904               | 1,932,190               | 2,263,683               |
| <b>OTHER COMPREHENSIVE INCOME/(LOSS)</b> | -                       | -                       | -                       |
| <b>TOTAL COMPREHENSIVE LOSS</b>          | 1,438,904               | 1,932,190               | 2,263,683               |
| <b>BASIC/DILUTED LOSS</b>                | (0.00442740)            | (0.00594520)            | (0.00696518)            |
| <b>PER SHARE</b> (Note 14)               |                         |                         |                         |

**PACIFICA, INC.****STATEMENTS OF COMPREHENSIVE INCOME****For the 3 months period ended September 30, 2025, 2024 and 2023 (Unaudited)**

|                                          | 3 mos.<br>Jul-Sep, 2025 | 3 mos.<br>Jul-Sep, 2024 | 3 mos.<br>Jul-Sep, 2023 |
|------------------------------------------|-------------------------|-------------------------|-------------------------|
| <b>INCOME</b>                            |                         |                         |                         |
| Interest income (Note 9)                 | 553                     | 760                     | 1,544                   |
|                                          | 553                     | 760                     | 1,544                   |
| <b>EXPENSES</b> (Note 10)                |                         |                         |                         |
| Professional fees                        | 195,657                 | 362,280                 | 572,588                 |
| Transportation and travel                |                         |                         |                         |
| Taxes and licenses                       |                         |                         | 12,510                  |
| Printing and supplies                    | 300                     | 14,753                  | 11,448                  |
| Communication                            | 13,000                  | 101,500                 | 9,000                   |
| Others                                   |                         |                         |                         |
|                                          | 208,957                 | 478,533                 | 605,546                 |
| <b>NET LOSS</b>                          | 208,404                 | 477,773                 | 604,002                 |
| <b>OTHER COMPREHENSIVE INCOME/(LOSS)</b> | -                       | -                       | -                       |
| <b>TOTAL COMPREHENSIVE LOSS</b>          | 208,404                 | 477,773                 | 604,002                 |
| <b>BASIC/DILUTED LOSS</b>                | (0.00064124)            | (0.00147007)            | (0.00185847)            |
| <b>PER SHARE</b> (Note 14)               |                         |                         |                         |

*See accompanying Notes to Financial Statements.*

**PACIFICA, INC.****STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY****As at September 30, 2025, 2024 and 2023 (Unaudited)**

|                                        | Capital Stock (Notes 13) |            | Subscriptions<br>Receivable<br>(Note 13) | Additional<br>Paid-in Capital<br>(Note 13) | Deficit              | Total              |
|----------------------------------------|--------------------------|------------|------------------------------------------|--------------------------------------------|----------------------|--------------------|
|                                        | Issued                   | Subscribed |                                          |                                            |                      |                    |
| <b>BALANCES AT DECEMBER 31, 2022</b>   | 324,883,332              | -          | -                                        | 10,163,756                                 | (225,461,352)        | 109,585,736        |
| Collection of subscriptions receivable | -                        | -          | -                                        | -                                          |                      |                    |
| Issuance of capital stock              | -                        | -          | -                                        | -                                          |                      |                    |
| Net loss from Jan to Sep 2023          | -                        | -          | -                                        | -                                          | (2,263,683)          | (2,263,683)        |
| <b>BALANCES AT September 30, 2023</b>  | <b>324,883,332</b>       | <b>-</b>   | <b>-</b>                                 | <b>10,163,756</b>                          | <b>(227,725,035)</b> | <b>107,322,053</b> |
| <b>BALANCES AT DECEMBER 31, 2023</b>   | 324,883,332              | -          | -                                        | 10,163,756                                 | (227,088,572)        | 107,958,516        |
| Collection of subscriptions receivable | -                        | -          | -                                        | -                                          |                      |                    |
| Issuance of capital stock              | -                        | -          | -                                        | -                                          |                      |                    |
| Net loss from Jan to Sep 2024          | -                        | -          | -                                        | -                                          | (1,932,190)          | (1,932,190)        |
| <b>BALANCES AT September 30, 2024</b>  | <b>324,883,332</b>       | <b>-</b>   | <b>-</b>                                 | <b>10,163,756</b>                          | <b>(229,020,762)</b> | <b>106,026,326</b> |
| <b>BALANCES AT DECEMBER 31, 2024</b>   | 324,883,332              | -          | -                                        | 10,163,756                                 | (231,525,266)        | 103,521,822        |
| Collection of subscriptions receivable | -                        | -          | -                                        | -                                          |                      |                    |
| Issuance of capital stock              | -                        | -          | -                                        | -                                          |                      |                    |
| Net loss from Jan to Sep 2025          | -                        | -          | -                                        | -                                          | (1,438,904)          | (1,438,904)        |
| <b>BALANCES AT September 30, 2025</b>  | <b>324,883,332</b>       | <b>-</b>   | <b>-</b>                                 | <b>10,163,756</b>                          | <b>(232,964,170)</b> | <b>102,082,918</b> |

**PACIFICA, INC.****INTERIM STATEMENTS OF CASH FLOWS**

For the 9 months period ended September 30, 2025, 2024 and 2023 (Unaudited)

|                                                              | Sep 30, 2025 | Sep 30, 2024 | Sep 30, 2023 |
|--------------------------------------------------------------|--------------|--------------|--------------|
| <b>CASH FLOWS FROM OPERATING ACTIVITIES</b>                  |              |              |              |
| Net loss                                                     | (1,438,904)  | (1,932,190)  | (2,263,683)  |
| Impairment of receivables                                    |              |              |              |
| Gain on reversal of payables                                 |              |              |              |
| Loss on write-off of furniture, fixtures and equipment       |              |              |              |
| Adjustment for depreciation                                  |              |              |              |
| Unrealized foreign exchange                                  |              |              |              |
| Provision for probable losses on input tax                   |              |              |              |
| Interest Income                                              |              |              |              |
| Provision for doubtful accounts                              |              |              |              |
| Operating loss before working capital changes                | (1,438,904)  | (1,932,190)  | (2,263,683)  |
| Decrease (increase) in:                                      |              |              |              |
| Input taxes                                                  | (169,318)    | (198,349)    | (169,610)    |
| Advances for liquidation                                     |              |              | -)           |
| Increase (decrease) in accounts payable and accrued expenses | (10,000)     | (705,000)    | 23,384       |
| Decrease in prepaid expenses                                 |              |              |              |
| Increase in receivables                                      |              |              |              |
| Increase in accrued expenses                                 |              |              |              |
| Decrease in income tax payable                               |              |              |              |
| Net cash used in operating activities                        | (1,618,222)  | (2,835,539)  | (2,409,909)  |
| <b>CASH FLOWS FROM INVESTING ACTIVITIES</b>                  |              |              |              |
| Decrease (increase) in due from related parties              | -            | -            | -            |
| Increase in deposit for future stock subscription            | -            | -            | -            |
| Net cash from (used in) investing activities                 | -            | -            | -            |
| <b>CASH FLOWS FROM FINANCING ACTIVITIES</b>                  |              |              |              |
| Collection of subscriptions receivables                      | -            | -            | -            |
| Increase (decrease) in due to related parties                | -            | -            | -            |
| Increase (decrease) in loans payable                         | -            | -            | -            |
| Net cash from financing activities                           | -            | -            | -            |
| <b>EFFECT OF EXCHANGE RATE CHANGES ON CASH</b>               | -            | -            | -            |
| <b>NET INCREASE (DECREASE) IN CASH IN BANKS</b>              | (1,618,222)  | (2,835,539)  | (2,409,909)  |
| <b>CASH IN BANKS, BEGINNING</b>                              | 6,028,883    | 11,572,630   | 14,636,365   |
| <b>CASH IN BANKS, END</b>                                    | 4,410,661    | 8,737,091    | 12,226,456   |

See accompanying Notes to Financial Statements.

## **PACIFICA HOLDINGS, INC.**

### **NOTES TO FINANCIAL STATEMENTS**

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#### **1. Corporate Information and Status of Operations**

##### Corporate Information

Pacifica Holdings, Inc. (the Company), a publicly-listed domestic corporation, was incorporated in the Philippines on September 2, 1957.

In 2007, the Company renewed its corporate life with the Securities and Exchange Commission (SEC) with its primary purpose to engage in exploration, development, and exploitation of mineral resources. Also, the Company is allowed to engage in gas, oil and power-related activities as its secondary purposes.

The Company's registered office address is China Bank Corporate Center, Lot 2, Samar Loop corner Road 5, Cebu Business Park, Brgy. Mabolo, Cebu City.

##### Status of Operations

On December 28, 2009, the Company entered into an operating agreement with Zam-Iron Mining Corporation (Zam-Iron). Zam-Iron granted the Company an exclusive right to explore, utilize and develop Kabasalan Mining Rights (see Note 4).

In 2010, the Company participated in the bidding conducted by Power Sector Assets and Liabilities Management Corporation (PSALM) for the appointment as independent power producer administrator for the contracted capacity of (a) the Ilijan Combined Cycle Power Plant at Ilijan, Batangas City, (b) the Malaya Thermal Power Plant at Pililia, Rizal, (c) the Unified Leyte Geothermal Power Plant at Tongonan, Leyte, and (d) the Naga Power Plant Complex (Cebu Thermal Power Plant 1 & 2) at Naga, Cebu and a joint venture project with R-II Builders, Inc., and the contracted lease, operation and maintenance of the Subic Diesel Power Plant (SDPP) at Causeway Extension, Subic Bay, Freeport Zone. Unfortunately, the Company's bid for Ilijan and Malaya power plants fell short and it lost the bidding to other rival companies while in the others, the bidding process did not materialize. In 2011, the Company did not participate in any bidding conducted by PSALM.

To generate funds to be used for the acquisition or purchase of mining claims, rights and businesses as may be identified by the Corporation, the BOD approved on July 9, 2009 the call for payment of unpaid subscriptions, which was extended until March 10, 2010. On April 6, 2010, the BOD approved the extension of the call for payment from March 10, 2010 to June 10, 2010.

On June 21, 2011, pursuant to the approval by the BOD, a delinquency sale was held for all 14,619,784,000 delisted delinquent shares in accordance with the provisions of the Corporation Code of the Philippines and the Securities Regulation Code, the results of which were reported to the SEC and the Philippine Stock Exchange. This is the Company's confirmation of management's initiative to source funds. The delinquency sale was undertaken by the Company in its principal office and in the presence of a Notary Public. Pursuant to the rules of the delinquency sale, payment of the winning bid shall be made on or before August 4, 2011. As of the date of this report, all winning bidders have fully paid their bids and have been issued certificates of stock.

Infusion of funds from the auction of delinquent shares held on June 21, 2011 have been used to satisfy the cash requirements for the acquisition or purchase of mining claims, rights and power related business as may be cautiously identified by the Corporation.

The recovery of the Corporation's receivables within the next twelve (12) months has been deemed remote. On August 28, 2015, the Board of Directors unanimously approved the impairment and write-off of the following items from its books of accounts: (1) accounts receivable from 9th Kingdom Investments, Inc., (2) advances to Mikro-Tech Capital, Inc; (3) prepaid royalties in favor of Zam-Iron Mining Corporation, (4) accounts receivables from LRSI and Stradec, and (5) retained deficit which was ratified by the stockholders during its annual stockholders' meeting on October 16, 2015.

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## 2. Summary of Significant Accounting and Financial Reporting Policies

The significant accounting policies that have been used in the preparation of these financial statements are summarized below and in the succeeding pages. These policies have been consistently applied to all the years presented, unless otherwise stated.

### **Basis of Preparation of Financial Statements**

#### (a) Statement of Compliance with Philippine Financial Reporting Standards

The financial statements of the Company have been prepared in accordance with Philippine Financial Reporting Standards (PFRS). PFRS are adopted by the Financial Reporting Standards Council (FRSC) from the pronouncements issued by the International Accounting Standards Board and approved by the Philippine Board of Accountancy.

The financial statements have been prepared using the measurement bases specified by PFRS for each type of asset, liability, income and expense. The measurement bases are more fully described in the accounting policies that follow.

#### (b) Presentation of Financial Statements

The financial statements are presented in accordance with Philippine Accounting Standard (PAS) 1, Presentation of Financial Statements. The Company presents all items of income and expenses in a single statement of comprehensive income.

The Company presents a third statement of financial position as of the beginning of the preceding period when it applies an accounting policy retrospectively, or makes a retrospective restatement or reclassification of items that has a material effect on the information in the statement of financial position at the beginning of the preceding period. The related notes to the third statement of financial position are not required to be disclosed.

#### (c) Functional and Presentation Currency

These financial statements are presented in Philippine pesos, the Company's functional and presentation currency, and all values represent absolute amounts except when otherwise indicated.

Items included in the financial statements of the Company are measured using its functional currency. Functional currency is the currency of the primary economic environment in which the Company operates.

### **Adoption of New and Amended PFRS**

#### (a) *Effective in 2020 that are Relevant to the Company*

The Company adopted for the first time the revisions amendments PFRS that follow, which are mandatorily effective for annual periods beginning on or after January 1, 2020:

|                                 |   |                                                                                                                                        |
|---------------------------------|---|----------------------------------------------------------------------------------------------------------------------------------------|
| Conceptual Framework            | : | Revised Conceptual Framework for—<br>Financial Reporting                                                                               |
| PAS 1 and PAS 8<br>(Amendments) | : | Presentation of Financial Statements<br>Accounting Policies, Changes in<br>Accounting Estimates and Errors -<br>Definition of Material |
| PFRS 7 and PFRS 9               | : | Financial Instruments: Disclosures and<br>Financial Instruments - Interest Rate<br>Benchmark Reform                                    |

Discussed below are the relevant information about these pronouncements.

- (i) *Revised Conceptual Framework for Financial Reporting.* The revised conceptual framework will be used in standard-setting with immediate effect. Key changes include (a) increasing the prominence of stewardship in the objective of financial reporting, (b) reinstating prudence as a component of neutrality, ( c ) defining a reporting entity, which may be a legal entity, or a portion of an entity, (d) revising the definitions of an asset

and a liability, ( e ) removing the probability threshold for recognition and adding guidance on derecognition, (f) adding guidance on different measuring basis, and, (g) stating that the profit and loss is the primary performance indicator and that, in principle, income and expenses in other comprehensive income should be recycled where this enhances the relevance or faithful representation of the financial statements. The application of the revised conceptual framework had no significant impact on the Company's financial statements.

- (ii) PAS 1 (Amendments), *Presentation of Financial Statements*, and PAS 8 (Amendments), *Accounting Policies, Changes in Accounting Estimates and Errors - Definition of Material* (effective from January 1, 2020). The amendments provide a clearer definition of 'material': in PAS 1 b y including the concept of 'obscuring' material information with immaterial information as part of the new definition, and clarifying the assessment threshold (I.e. misstatement of information is material if it could reasonably be expected to influence decisions made by primary users, which consider the characteristic of those users as well as the entity's own circumstances). The definition of material in PAS 8 has been accordingly replaced by reference to the new definition in PAS 1. In addition, amendment has also been made in other standards that contain definition of material or refer to the term 'material' to ensure consistency. The application of these amendments had no significant impact on the Company's financial statements.
- (iii) PFRS 7 (Amendments), *Financial Instruments: Disclosures*, and PFRS 9 (Amendments), *Financial Instruments – interest Rate Benchmark Reform*. The amendments clarify that an entity would continue to apply certain hedge accounting requirements assuming that the interest rate benchmark on which the hedged cash flows and cash flows from the hedging instrument are based will not be altered as a result of interest rate benchmark reform. The application of these amendments had no significant impact on the Company's financial statements.

*(b) Effective in 2020 that is not Relevant to the Company*

PFRS 3 (Amendments), *Business Combinations – Definition of a Business*, is effective for annual periods beginning on or after January 1, 2020 but is deemed not relevant to the Company's financial statements.

*(c) Effective Subsequent to 2020 but not Adopted Early.*

There are amendments and annual improvements to existing standards effective for annual periods subsequent to 2020, which are adopted by the FRSC. Management will adopt the relevant pronouncements below in accordance with their transitional provisions; and, unless otherwise stated, none of these are expected to have significant impact on the Company's financial statements.

- (i) PAS 37 (Amendments), *Provisions, Contingent Liabilities and Contingent Assets – Onerous Contracts – Cost of Fulfilling a Contract* (effective January 1, 2022). The amendments specify that the 'cost of fulfilling' a contract comprises the 'costs that relate directly to the contract'. Costs that relate directly to a contract can either be incremental costs of fulfilling that contract (examples would be direct labor, materials) or an allocation of other costs that relate directly to fulfilling contracts (an example would be the allocation of the depreciation charge for an item of property, plant and equipment used in fulfilling the contract).
- (ii) Annual Improvements to PFRS 2018-2020 Cycle. Among the improvements, PFRS 9 (Amendments), *Financial Instruments – Fees in the '10 per cent' Test for Derecognition of Liabilities*, which is effective from January 1, 2022, is relevant to the Company. The improvements clarify the fees that a company includes when assessing whether the terms of a new or modified financial liability are substantially different from the terms of the original financial liability.
- (iii) PAS 1 (Amendments), *Presentation of Financial Statements – Classification of Liabilities as Current or Non-current* (effective January 1, 2023). The amendments aim to promote consistency in applying the requirements by helping companies determine whether, in the statement of financial position, debt and other liabilities with an uncertain settlement date should be classified as current (due or potentially due to be settled within one year) or non-current.

## **2.3 Financial Instruments**

Financial assets and financial liabilities are recognized when the entity becomes a party to the contractual provisions of the financial instrument.

*(a) Financial Assets*

For purposes of classifying financial assets, an instrument is considered as an equity instrument if it is non-derivative and meets the definition of equity for the issuer in accordance with the criteria of PAS 32, *Financial Instruments: Presentation*. All other non-derivative financial instruments are treated as debt instruments.

Regular purchases and sales of financial assets are recognized on their trade date (i.e., the date that the Company commits to purchase or sell the asset).

*(i) Classification and Measurement of Financial Assets*

The classification and measurement of financial assets is driven by the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets.

Currently, the financial assets of the Company are measured at amortized cost, which meets both of the following conditions: ☐

- the asset is held within the Company's business model whose objective is to hold financial assets in order to collect contractual cash flows ("hold to collect"); and, ☐
- the contractual terms of the instrument give rise, on specified dates, to cash flows that are solely for payment of principal and interest (SSPI) on the principal amount outstanding.

The Company's financial assets at amortized cost are presented in the statement of financial position as Cash in Banks and Due from Related Parties.

Financial assets measured at amortized cost are included in current assets, except for those with maturities greater than 12 months after the end of reporting period, which are classified as non-current assets.

For purposes of cash flows reporting and presentation, cash in banks pertains to demand and savings deposits, which are subject to insignificant risk of changes in value.

Interest income on financial assets measured at amortized cost is recognized using the effective interest rate method. The effective interest rate is the rate that exactly discounts estimated future cash receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset.

The Company calculates interest income by applying the effective interest rate to the gross carrying amount of the financial assets, except for those that are subsequently identified as credit-impaired and or are purchased or originated credit-impaired assets.

For financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the net carrying amount of the financial assets (after deduction of the loss allowance). If the asset is no longer credit-impaired, the calculation of interest income reverts to gross basis. For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying a credit-adjusted effective interest rate to the amortized cost of the asset. The calculation of interest income does not revert to a gross basis even if the credit risk of the asset subsequently improves.

Interest income earned is recognized in the statement of comprehensive income as part of Finance Income.

*(ii) Impairment of Financial Assets*

At the end of the reporting period, the Company assesses and recognizes allowance for expected credit loss (ECL) on its financial assets measured at amortized cost. The measurement of ECL involves consideration of broader range of information that is available without undue cost or effort at the reporting date about past events, current conditions, and reasonable and supportable forecasts of future economic conditions (i.e., forward-looking information) that may affect the collectability of the future cash flows of the financial assets. Measurement of the ECL is determined by a probability-weighted estimate of credit losses over the expected life of the financial instruments evaluated based on a range of possible outcome.

The Company applies the simplified approach in measuring ECL, which uses a lifetime expected loss allowance for all trade and other receivables. These are the expected shortfalls in contractual cash flows, considering the potential for default at any point during the life of the financial assets. To calculate the ECL, the Company uses its historical experience, external indicators and forward-looking information to calculate the ECL using a provision matrix.

The Company also assesses impairment of trade receivables on a collective basis as they possess shared credit risk characteristics.

The Company determines whether there has been a significant increase in credit risk for financial asset since initial recognition by comparing the risk of default occurring over the expected life of the financial asset



between the reporting date and the date of the initial recognition. In making this assessment, the Company considers both quantitative and qualitative information that may indicate an actual or expected deterioration of the credit quality of the financial assets.

The key elements used in the calculation of ECL are as follows:

- *Probability of default* – It is an estimate of likelihood of a counterparty defaulting at its financial obligation over a given time horizon, either over the next 12 months or the remaining lifetime of the obligation.
- *Loss given default* – It is an estimate of loss arising in case where a default occurs at a given time. It is based on the difference between the contractual cash flows of a financial instrument due from a counterparty and those that the Company would expect to receive, including the realization of any collateral or effect of any credit enhancement. ☐
- *Exposure at default* – It represents the gross carrying amount of the financial instruments in the event of default which pertains to its amortized cost.

The Company recognizes an impairment loss in profit or loss for all financial instruments subjected to impairment assessment with a corresponding adjustment to their carrying amount through a loss allowance account.

#### *(ii) Derecognition of Financial Assets*

The financial assets (or where applicable, a part of a financial asset or part of a group of financial assets) are derecognized when the contractual rights to receive cash flows from the financial instruments expire, or when the financial assets and all substantial risks and rewards of ownership have been transferred to another party. If the Company neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Company recognizes its retained interest in the asset and an associated liability for amounts it may have to pay. If the Company retains substantially all the risks and rewards of ownership of a transferred financial asset, the Company continues to recognize the financial asset and also recognizes a collateralized borrowing for the proceeds received.

#### *(b) Financial Liabilities*

Financial liabilities, which include accrued expenses and other payables and due to related parties, are recognized initially at their fair values and subsequently measured at amortized cost, using effective interest method for maturities beyond one year, less settlement payments.

All interest-related charges incurred on a financial liability are recognized as an expense in profit or loss under the caption Finance Costs in the statement of comprehensive income.

Accrued expenses and other payables and due to related parties are recognized initially at their fair values and subsequently measured at amortized cost, using effective interest method for maturities beyond one year, less settlement payments.

Financial liabilities are classified as current liabilities if payment is due to be settled within one year or less after the end of the reporting period (or in the normal operating cycle of the business, if longer), or the Company does not have an unconditional right to defer settlement of the liability for at least twelve months after the end of the reporting period. Otherwise, these are presented as non-current liabilities.

Financial liabilities are derecognized from the statement of financial position only when the obligations are extinguished either through discharge, cancellation or expiration. The difference between the carrying amount of the financial liability derecognized and the consideration paid or payable is recognized in profit or loss.

#### *(c) Offsetting Financial Instruments*

Financial assets and financial liabilities are offset and the resulting net amount, considered as a single financial asset or financial liability, is reported in the statement of financial position when the Company currently has legally enforceable right to set-off the recognized amounts and there is an intention to settle on a net basis, or realize the asset and settle the liability simultaneously. The right of set-off must be available at the end of the reporting period, that is, it is not contingent on future event. It must also be enforceable in the normal course of business, in the event of default, and in the event of insolvency or bankruptcy; and, must be legally enforceable for both entity and all counterparties to the financial instruments.

## **2.4 Other Current Assets**

Other current assets pertain to other resources controlled by the Company as a result of past events. They are recognized in the financial statements when it is probable that the future economic benefits will flow to the Company and the asset has a cost or value that can be measured reliably.

Other recognized assets of similar nature, where future economic benefits are expected to flow to the Company beyond one year after the end of the reporting period are classified as non-current assets.

## **2.5 Provisions and Contingencies**

Provisions are recognized when present obligations will probably lead to an outflow of economic resources and they can be estimated reliably even if the timing or amount of the outflow may still be uncertain. A present obligation arises from the presence of a legal or constructive obligation that has resulted from past events.

Provisions are measured at the estimated expenditure required to settle the present obligation, based on the most reliable evidence available at the end of the reporting period, including the risks and uncertainties associated with the present obligation. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. When time value of money is material, long-term provisions are discounted to their present values using a pretax rate that reflects market assessments and the risks specific to the obligation. The increase in the provision due to passage of time is recognized as interest expense. Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate.

In those cases where the possible outflow of economic resource as a result of present obligations is considered improbable or remote, or the amount to be provided for cannot be measured reliably, no liability is recognized in the financial statements. Similarly, possible inflows of economic benefits to the Company that do not yet meet the recognition criteria of an asset are considered contingent assets, hence, are not recognized in the financial statements. On the other hand, any reimbursement that the Company can be virtually certain to collect from a third party with respect to the obligation is recognized as a separate asset not exceeding the amount of the related provision.

## **2.6 Revenue and Expense Recognition**

To determine whether to recognize revenue, the Company follows a five-step process:

- (a) identifying the contract with a customer;
- (b) identifying the performance obligation;
- (c) determining the transaction price;
- (d) allocating the transaction price to the performance obligations; and,
- (e) recognizing revenue when/as performance obligations are satisfied.

The Company determines whether a contract with customer exists by evaluating whether the following five gating criteria must be present:

- (i) the parties to the contract have approved the contract either in writing, orally or in accordance with other customary business practices;
- (ii) each party's rights regarding the goods or services to be transferred or performed can be identified;
- (iii) the payment terms for the goods or services to be transferred or performed can be identified;
- (iv) the contract has commercial substance (i.e., the risk, timing or amount of the future cash flows is expected to change as a result of the contract); and,
- (v) collection of the consideration in exchange of the goods and services is probable.

Revenue is recognized only when (or as) the Company satisfies a performance obligation by transferring control of the promised goods or services to a customer. The transfer of control can occur over time or at a point in time.

A performance obligation is satisfied at a point in time unless it meets one of the following criteria, in which case it is satisfied over time:

- (i) the customer simultaneously receives and consumes the benefits provided by the Company's performance as the Company performs;
- (ii) the Company's performance creates or enhances an asset that the customer controls as the asset is created or enhanced; and,
- (iii) the Company's performance does not create an asset with an alternative use to the Company and the entity has an enforceable right to payment for performance completed to date.

As indicated in Note 1, the Company has not generated revenues yet from its commercial operations.

Expenses are recognized in profit or loss at the date they are incurred. All finance costs are reported in profit or loss on an accrual basis.

## ***2.7 Foreign Currency Transactions and Translation***

The accounting records of the Company are maintained in Philippine pesos. Foreign currency transactions during the year are translated into the functional currency at exchange rates which approximate those prevailing on transaction dates.

Foreign currency gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in profit or loss.

## ***2.8 Impairment of Non-financial Assets***

The Company's non-financial assets, if any, are subject to impairment testing. Individual assets or cash-generating units are tested for impairment whenever events or changes in circumstances indicate that the carrying amount of those assets may not be recoverable.

For purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). As a result, some assets are tested individually for impairment either individually or at the cash-generating unit level.

Impairment loss is recognized in profit or loss for the amount by which the asset's or cash-generating unit's carrying amount exceeds its recoverable amounts which is the higher of its fair value less costs to sell and its value in use. In determining value in use, management estimates the expected future cash flows from each cash-generating unit and determines the suitable interest rate in order to calculate the present value of those cash flows. The data used for impairment testing procedures are directly linked to the Company's latest approved budget, adjusted as necessary to exclude the effects of asset enhancements. Discount factors are determined individually for each cash-generating unit and reflect management's assessment of respective risk profiles, such as market and asset-specific risk factors.

All assets are subsequently reassessed for indications that an impairment loss previously recognized may no longer exist. An impairment loss is reversed if the asset's or cash generating unit's recoverable amount exceeds its carrying amount.

## ***2.9 Income Taxes***

Tax expense recognized in profit or loss comprises the sum of current tax and deferred tax not recognized in other comprehensive income or directly in equity, if any.

Current tax assets or liabilities comprise those claims from, or obligations to, fiscal authorities relating to the current or prior reporting period, that are uncollected or unpaid at the end of the reporting period. They are calculated using the tax rates and tax laws applicable to the fiscal periods to which they relate, based on the taxable profit for the year. All changes to current tax assets or liabilities are recognized as a component of tax expense in profit or loss.

Deferred tax is accounted for using the liability method, on temporary differences at the end of each reporting period between the tax base of assets and liabilities and their carrying amounts for financial reporting purposes. Under the liability method, with certain exceptions, deferred tax liabilities are recognized for all taxable temporary differences and deferred tax assets are recognized for all deductible temporary differences and the carryforward of unused tax losses and unused tax credits to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. Unrecognized deferred tax assets, if any, are reassessed at the end of each reporting period and are recognized to the extent that it has become probable that future taxable profit will be available to allow such deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period when the asset is realized or the liability is settled provided such tax rates have been enacted or substantively enacted at the end of the reporting period.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Most changes in deferred tax assets or liabilities are recognized as a component of tax expense in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity, respectively.

Deferred tax assets and deferred tax liabilities are offset if the Company has a legally enforceable right to set-off current tax assets against current tax liabilities and the deferred taxes relate to the same taxation authority.

### ***2.10 Related Party Transactions and Relationships***

Related party transactions are transfers of resources, services or obligations between the Company and its related parties, regardless whether a price is charged.

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions. These parties include: (a) individuals owning, directly or indirectly through one or more intermediaries, control or are controlled by, or under common control with the Company; (b) associates; and, (c) individuals owning, directly or indirectly, an interest in the voting power of the Company that gives them significant influence over the Company and close members of the family of any such individual.

In considering each possible related party relationship, attention is directed to the substance of the relationship and not merely on the legal form.

Transactions amounting to ten percent (10%) or more of the total assets based on the latest audited financial statements that were entered into with related parties are considered material.

All individual material related party transactions shall be approved by at least 2/3 vote of the BOD, with at least a majority of the independent directors voting to approve the material related party transactions. In case that a majority of the independent directors' vote is not secured, the material related party transaction may be ratified by the vote of the stockholders representing at least 2/3 of the outstanding capital stock. For aggregate related party transactions within a 12-month period that breaches the materiality threshold of 10% of the Company's total assets based on the latest audited financial statements, the same board approval would be required for the transaction(s) that meets and exceeds the materiality threshold covering the same related party.

### ***2.11 Segment Reporting***

Operating segments are reported in a manner consistent with the internal reporting provided to the Company's executive committee, its chief operating decision maker. The executive committee is responsible for allocating resources and assessing performance of the operating segments.

In identifying its operating segments, management generally follows the Company's products and service lines as well as geographical location of its operation. Because the Company has not generated revenues yet from its commercial operations (see Note 1), the Company does not present any segment information.

### ***2.12 Equity***

Capital stock represents the nominal value of shares that have been issued and subscribed, less subscriptions receivable.

Additional paid-in capital includes any premium received on the issuance of capital stock. Any transaction costs associated with the issuance of shares are deducted from additional paid-in capital, net of any related income tax benefits.

Deficit represents all current and prior period results of operations as reported in the profit or loss section of the statement of comprehensive income.

### **2.13 Earnings (or Loss) per Share**

Basic earnings (or Loss) per share (EPS) is computed by dividing net profit attributable to equity holders of the Company by the weighted average number of shares issued and outstanding, adjusted retroactively for any stock dividend, stock split or reverse stock split declared during the current period.

Diluted EPS is computed by adjusting the weighted average number of ordinary shares outstanding to assume conversion of dilutive potential shares. Currently, the Company does not have dilutive potential shares outstanding; hence, the diluted EPS is equal to the basic EPS.

### **2.14 Events After the End of the Reporting Period**

Any post-year-end event that provides additional information about the Company's financial position at the end of the reporting period (adjusting event) is reflected in the financial statements. Post-year-end events that are not adjusting events, if any, are disclosed when material to the financial statements.

## **3. SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES**

The preparation of the Company's financial statements in accordance with PFRS requires management to make judgments and estimates that affect the amounts reported in the financial statements and related notes. Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may ultimately differ from these estimates.

### **3.1 Critical Management Judgments in Applying Accounting Policies**

In the process of applying the Company's accounting policies, management has made the judgments that follow, apart from those involving estimation, which have the most significant effect on the amounts recognized in the financial statements.

#### *(a) Determination of ECL on Due to Related Parties*

The Company uses external benchmarking to calculate ECL for Due to Related Parties. The Company applies the PFRS 9 using internal credit ratings translated to external credit ratings [i.e., Standard & Poor's] in order to reference/benchmark with published equivalent external cumulative probability of default. It has established a policy to perform an assessment, at the end of each reporting period, whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument. Details about the ECL on the Company's Due to Related Parties are disclosed in Note 4.1.

#### *b) Recognition of Provisions and Contingencies*

Judgment is exercised by management to distinguish between provisions and contingencies. Policies on recognition of provisions and contingencies are discussed in Note 2.5 and disclosures on relevant contingencies are presented in Note 15.

### **3.2 Key Sources of Estimation Uncertainty**

Described below are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next reporting period.

#### *(a) Estimation of Allowance for ECL*

The measurement of the allowance for ECL on financial assets at amortized cost is an area that requires the use of significant assumptions about the future economic conditions and credit behaviour (e.g., likelihood of customers defaulting and the resulting losses). Explanation of the inputs, assumptions and estimation used in measuring ECL is further detailed in Note 4.1.

*(b) Determination of Realizable Amount of Deferred Tax Assets*

The Company reviews its deferred tax assets at the end of each reporting period and reduces the carrying amount to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. As of December 31, 2020 and 2019, the deferred tax assets are not recognized because based on management's assessment, there would be no sufficient future taxable profits yet against which the deductible temporary differences and carry forward benefits of unused net operating loss carry-over (NOLCO) could be utilized (see Note 11).

*(c) Impairment of Non-financial Assets*

In assessing impairment, management estimates the recoverable amount of each asset or cash-generating units based on expected future cash flows and uses an interest rate to calculate the present value of those cash flows. Estimation uncertainty relates to assumptions about future operating results and the determination of a suitable discount rate (see Note 2.8).

Though management believes that the assumptions used in the estimation of fair values reflected in the financial statements are appropriate and reasonable, significant changes in those assumptions may materially affect the assessment of recoverable values and any resulting impairment loss could have a material adverse effect on the results of operations.

Impairment loss recognized on the Other Current Assets are discussed in Note 7.

#### **4. RISK MANAGEMENT OBJECTIVES AND POLICIES**

The Company is exposed to certain financial risks in relation to financial instruments. The Company's financial assets and financial liabilities by category are summarized in Note 5. The main types of risks are credit risk and liquidity risk.

The Company's risk management is coordinated with the BOD and focuses on actively securing the Company's short to medium-term cash flows by minimizing the exposure to financial markets.

The Company does not engage in the trading of financial assets for speculative purposes nor does it write options. Following are the relevant financial risks to which the Company is exposed to:

##### **4.1 Credit Risk**

Credit risk is the risk that a counterparty may fail to discharge an obligation to the Company. The Company is exposed to this risk for certain financial instruments arising from placing deposits with banks and obtaining advances from related parties.

The Company continuously monitors defaults of counterparties, identified either individually or by group, and incorporates this information into its credit risk controls. The Company's policy is to deal only with creditworthy counterparties.

None of the Company's financial assets are secured by collateral or other credit enhancements, except for cash in banks as described below.

*(a) Cash in Banks*

The credit risk for cash in banks is considered negligible, since the counterparties are reputable banks with high quality external credit ratings. Cash in banks are insured by the Philippine Deposit Insurance Corporation up to a maximum coverage of P500,000 for every depositor per banking institution.

*(b) Due from Related Parties*

For due from related parties which all are repayable on demand, the Company uses a lifetime expected loss allowance. Accordingly, ECLs are based on the assumption that repayment of the advances or loans is demanded at the reporting date taking into consideration the historical defaults of the related parties. Management considers if the related party has sufficient accessible highly liquid assets in order to repay the loan if demanded at the reporting date. If the Company cannot immediately collect its receivables, management considers the expected manner of recovery to measure ECL. If the recovery strategies indicate that the outstanding balance of the receivables can be collected, the ECL is limited to the effect of discounting the amount due over the period until cash is realized, which may already be negligible.

Management assessed that the outstanding receivables from related parties as at December 31, 2023 are recoverable since its related parties were assessed to have capacity to pay the advances upon demand. Hence, no impairment is also necessary.

#### **4.2 Liquidity Risk**

The Company manages its liquidity needs by carefully monitoring cash outflows due in a day-to-day business. Liquidity needs are monitored in various time bands, on a day-to-day and week-to-week basis, as well as on the basis of a rolling 30-day projection. Long-term liquidity needs for a six-month and one-year period are identified monthly.

The Company maintains sufficient cash to meet its liquidity requirements for up to 60-day periods.

As at December 31, 2023 and 2022, the Company's maximum liquidity risk is the total carrying amounts of Accrued Expenses and Other Payables and Due to Related Parties accounts with maturities of within 6 months, which are shown as current liabilities in the statements of financial position.

### **5. CATEGORIES AND FAIR VALUE MEASUREMENT AND DISCLOSURES**

#### **5.1 Carrying Amounts and Fair Values by Category**

The Company has no financial assets or financial liabilities carried at fair value nor does it have any financial instruments whose fair value is required to be disclosed. The carrying values of its financial assets and financial liabilities that are carried at amortized cost approximate or equal their fair values, accordingly, comparison of their fair values and carrying values is no longer presented.

#### **5.2 Fair Value Hierarchy**

In accordance with PFRS 13, *Fair Value Measurement*, the fair value of financial assets and financial liabilities and non-financial assets which are measured at fair value on a recurring or non-recurring basis and those assets and liabilities not measured at fair value but for which fair value is disclosed in accordance with other relevant PFRS, are categorized into three levels based on the significance of inputs used to measure the fair value.

The fair value hierarchy has the levels as follows. ☐

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at the measurement date; ☐
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices); and,
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The level within which the asset or liability is classified is determined based on the lowest level of significant input to the fair value measurement.

For purposes of determining the market value at Level 1, a market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

When the Company uses valuation technique, it maximizes the use of observable market data where it is available and relies as little as possible on entity specific estimates. If all significant inputs required to determine the fair value of an instrument are observable, the instrument is included in Level 2. Otherwise, it is included in Level 3.

#### **5.3 Financial Instruments Measured at Fair Value**

As indicated in Note 5.1, the Company has no financial assets and liabilities measured at fair value as at December 31, 2024 and 2023.

#### **5.4 Financial Instruments Measured at Amortized Cost for which Fair Value is Not Disclosed**

As discussed in Note 5.1, carrying values of its financial instruments carried at amortized costs approximate or equal their fair values, hence comparison is no longer disclosed. Accordingly, the Company does not also present a fair value hierarchy. Nevertheless, its cash in banks can be categorized as Level 1 in the hierarchy of financial instruments while the rest of the financial instruments as Level 3.

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#### **6. Cash in Bank**

Cash in bank, which pertains to demand deposits, amounts to P 4,410,661 and P 6,028,883 as of September 30, 2025 and December 31, 2024, respectively. It generally earns interest at rates based on daily bank deposit rates.

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#### **7. Prepayments and other Current Assets**

The composition of this account is shown below.

|                                  | Note<br>11 | Sep. 30, 2024    | Dec. 31, 2024 |
|----------------------------------|------------|------------------|---------------|
| Input taxes                      |            | P 169,318        | P -           |
| Advances subject for liquidation |            | -                | -             |
|                                  |            | <u>P 169,318</u> | <u>P -</u>    |

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#### **8. Interest-Bearing Loan**

The outstanding loan payable as of December 31, 2017 which bears an interest of 2.05% was paid in full on January 15, 2018. No additional loan was availed from 2019 to 2024.

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#### **9. Other Income**

Other income includes:

|                                           | Sep. 30, 2025  | Dec. 31, 2024    | Dec. 31, 2023    |
|-------------------------------------------|----------------|------------------|------------------|
| Unrealized foreign currency exchange gain | P -            | P -              | P -              |
| Interest Income                           | 1,808          | 1,879,637        | 1,881,346        |
| Gain on reversal of payables              | -              | -                | -                |
|                                           | <u>P 1,808</u> | <u>1,879,637</u> | <u>1,881,346</u> |



## 10. Expenses

Details of the Company's expenses by nature are shown below.

|                                                  | Notes | Sep. 30, 2025    | Dec. 31, 2024    | Dec. 31, 2023    |
|--------------------------------------------------|-------|------------------|------------------|------------------|
| Professional fees                                |       | P 1,149,912      | P 4,320,731      | P 1,913,507      |
| Taxes and licenses                               | 16    | 269,486          | 1,112,370        | 1,028,740        |
| Advertising                                      |       |                  | 155,350          | 155,350          |
| Communication                                    |       | 13,000           | 101,500          | 83,500           |
| Printing and supplies                            |       | 8,314            | 58,276           | 56,384           |
| Bank Charges                                     |       |                  |                  | 457              |
| Impairment of prepaid royalties<br>and input VAT |       |                  | 526,415          | 215,164          |
| Courier                                          |       |                  |                  | 167              |
| Transportation and travel                        |       |                  |                  | 6,697            |
| Others                                           |       |                  | 41,690           | 48,600           |
|                                                  |       | <u>1,440,712</u> | <u>6,316,332</u> | <u>3,508,566</u> |

## 11. Current and Deferred Taxes

There is no tax expense reported in the statement of comprehensive income for the period ended September 30, 2025, and for the years ended December 31, 2024, 2023 and 2022 because the Company is in a tax loss position.

The components of deductible temporary differences and unused NOLCO for which no deferred income tax assets were recognized as of September 30, 2025 are as follows:

|                                 | Sep. 30, 2025 | Dec. 31, 2024 | Dec. 31, 2023 |
|---------------------------------|---------------|---------------|---------------|
| Allowance for probable losses   | -             | -             | -             |
| NOLCO                           | 1,440,712     | 3,914,917     | 1,418,402     |
| Allowance for doubtful accounts | -             | -             | -             |

Deferred income tax assets were not recognized as management believes that it is not probable that the Company would have sufficient future taxable profits against which deductible temporary differences and carry forward benefits of unused NOLCO could be utilized.

The details of the Company's unexpired NOLCO with their corresponding validity or availment periods are as follows:

| Year Incurred | Amount           | Expired  | Balance as of<br>December 31,<br>2024 | Available<br>Until |
|---------------|------------------|----------|---------------------------------------|--------------------|
| 2024          | 3,914,917        | -        | 3,914,917                             | 2027               |
| 2023          | 1,418,402        | -        | 1,418,402                             | 2026               |
| 2022          | 48,831           | -        | 48,831                                | 2025               |
|               | <u>5,382,150</u> | <u>-</u> | <u>5,382,150</u>                      |                    |

The Company is subject to minimum corporate income tax (MCIT), which is computed at 2% of gross income, as defined under the tax regulations or the regular corporate income tax (RCIT), whichever is higher.

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## 12. Related Party Transactions

Enterprises and individuals that directly, or indirectly through one or more intermediaries, control or are controlled by or under common control with the Company, including holding companies, subsidiaries and fellow subsidiaries, are related parties of the Company. Associates and individuals owning, directly or indirectly, an interest in the voting power of the Company that gives them significant influence over the enterprise, key management personnel, including directors and officers of the Company and close members of the family of these individuals, and companies associated with these individuals also constitute related parties. In considering each possible related entity relationship, attention is directed to the substance of the relationship and not merely the legal form.

The Company discloses the nature of the related party relationship and information about the transactions and outstanding balances necessary for an understanding of the potential effect of the relationship on the financial statements, including, as a minimum, the amount of outstanding balances and its terms and conditions including whether they are secured, and the nature of the consideration to be provided in settlement.

The Company entered into transactions with related parties principally consisting of non-interest-bearing intercompany advances to and from related parties.

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## 13. Capital Stock

Capital stock as of September 30, 2025 and 2024 consists of:

|                                     | Shares                    |                    | Amount                      |                      |
|-------------------------------------|---------------------------|--------------------|-----------------------------|----------------------|
|                                     | Sep. 2025                 | Sep. 2024          | Sep. 2025                   | Sep. 2024            |
| Capital Stock –<br>P0.005 par value |                           |                    |                             |                      |
| Authorized                          | <u>700,000,000</u>        | <u>700,000,000</u> | <u>P 700,000,000</u>        | <u>P 700,000,000</u> |
| Issued and                          | <b>199,825,000</b>        | 199,825,000        | <b>P 199,825,000</b>        | P 199,825,000        |
| subscribed                          | <b>125,175,000</b>        | 125,275,000        | <b>125,175,000</b>          | 125,175,000          |
| Subscriptions receivable            | -                         | -                  | <b>(116,668)</b>            | ( 116,668)           |
|                                     | <u><b>325,000,000</b></u> | <u>325,000,000</u> | <u><b>P 324,883,332</b></u> | <u>P 324,883,332</u> |

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The following tables show the movements in the number of outstanding shares:

Issued and subscribed shares:

|                              |                    |
|------------------------------|--------------------|
| At September 30, 2025        | 325,000,000        |
| Issuance of capital stock    |                    |
| <u>At September 30, 2025</u> | <u>325,000,000</u> |

### **Listing with PSE**

On November 23, 1959, the Company offered a portion of its stocks for listing with the PSE. The number of common shares registered was 25,345,216,000 with an issue price of P0.005. As of December 31, 2018, the number of holders of such securities is 3,307. The market price of the Company's shares as of December 31, 2018 is P0.0450. The total number of issued shares not listed with the PSE is P14,654,784,000 shares as at December 31, 2017 and 2016.

On June 21, 2011, pursuant to the approval by the BOD, a delinquency sales was held for all 14,654,784,000 delisted delinquent shares in accordance with the provisions of the Corporation Code of the Philippines and the Securities Regulation Code, the results of which were reported to the SEC and the PSE. This is the Company's confirmation of management's initiative to source funds. The delinquency sales was undertaken by the Company in its principal office and in the presence of a Notary Public. During the said auction, a total of 14,654,784,000 shares were bought by the winning bidders. Pursuant to the rules of the delinquency sales, payment of the winning bid shall be made on or before August 4, 2011. As of May 2, 2012, all winning bidders have fully paid their bids and have been issued certificates of stock. Presently, 25,345,216,000 common shares remain to be listed with the PSE while the remaining 14,654,784,000 delisted shares are in the process of relisting to the PSE.

The public auction of the delisted delinquent shares was ratified on October 16, 2015 during the Company's Annual Stockholders Meeting.

### **Capital Management Objectives, Policies and Procedures**

The Company maintains a capital base to cover risk inherent in the business. The primary objective of the Company's capital management is to ensure that it maintains an adequate and strong capital base to support its business. Accordingly, management is currently working on getting fresh investments to revitalize the capital base of the Company (see Note 1).

The Company monitors capital on the basis of the carrying amount of equity as presented on the face of the statements of financial position. Capital for the reporting periods under review is summarized below.

|                   |          | <b>Sep. 30, 2025</b> |          | <b>Dec. 31, 2024</b> |
|-------------------|----------|----------------------|----------|----------------------|
| Total liabilities | <b>P</b> | <b>2,144,322</b>     | <b>P</b> | <b>2,154,322</b>     |
| Total equity      |          | <b>102,082,918</b>   |          | <b>103,521,822</b>   |

The Company sets the amount of capital in proportion to its overall financing structure, i.e., equity and financial liabilities. The Company manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets.

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#### 14. Basic/Diluted Loss Per Share

Basic/diluted loss per share is computed as follows:

|                                                  | Sep. 30, 2025  | Dec 31, 2024   | Dec 31, 2023   |
|--------------------------------------------------|----------------|----------------|----------------|
| Net loss                                         | ₱ 1,438,904    | ₱ 4,436,694    | ₱ 1,627,220    |
| Weighted average number of<br>outstanding shares | 325,000,000    | 325,000,000    | 325,000,000    |
| Basic/diluted loss per share                     | ₱ (0.00442740) | ₱ (0.01365137) | ₱ (0.00500683) |

The Company has no potentially dilutive common shares as of September 30, 2025, December 31, 2024 and December 31, 2023. Thus, the basic loss and diluted loss per share amounts are the same as of those dates.

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#### 15. Financial Risk Management Policies and Objectives

The Company's principal financial instruments pertain to cash in banks, due from and to related parties, and accrued expenses and other liabilities. These financial instruments arise directly from the Company's operations. The main purpose of these financial instruments is to fund the Company's administrative costs.

The main risks arising from the Company's financial instruments are credit risk and liquidity risk. The BOD reviews and agrees on certain policies for managing some of these risks as summarized below:

##### *Credit Risk*

Credit risk is the risk that the Company incurs a loss because its counterparties failed to discharge their contractual obligations. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and by monitoring exposures to such limits. The Company has no significant concentration of credit risk with any single entity.

With respect to credit risk arising from financial assets, the Company's exposure to credit risk arises from default of the counterparty, with a maximum exposure equal to the carrying values of these instruments.

Cash in banks are classified as *High grade* since these are deposited and invested with reputable banks and can be withdrawn anytime.

*High grade* receivables pertain to those receivables from clients or customers that consistently pay before the maturity date. *Standard grade* includes receivables and advances that are collected on their due dates even without an effort from the Company to follow them up. *Past due and impaired* are those that are long-outstanding and have been provided with allowance for bad debts.

##### *Liquidity Risk*

Liquidity risk is the risk that the Company will not be able to meet its obligation when they fall due. To limit this risk, the Company's stockholders provide the necessary funds when the need arises.

##### *Market Risk*

Market risk is the risk of change in fair value of financial instruments from fluctuations in market interest rates (fair value interest rate risk), market prices (equity price risk) and foreign exchange rates (currency risk) whether such change in price is caused by factors specific to the individual instrument or its issuer or factors affecting all instruments traded in the market.

##### *Fair value*

The carrying amounts of cash in banks, due from and to related parties and accrued expenses and other liabilities approximate their fair values because of their short-term nature.

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## 16. Capital Management

The Company maintains a capital base to cover risks inherent in the business. The primary objective of the Company's capital management is to ensure that it maintains an adequate and strong capital base to support its business. The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions and the risk characteristics of its activities.

No changes were made in the objectives, policies and processes from the previous year.

The capital considered by management is the same capital as those indicated in the equity section of the balance sheet.

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## 17. Operating Segment

The Company is engaged in mineral exploration and considers such as its primary activity and only operating segment. The President, which is considered as the chief operating decision maker, monitors the operating results of the Company. The Company has only one geographical segment.

Net loss, total assets and total liabilities as of and for the period ended September 30, 2025, December 31, 2024 and December 31, 2023 are the same as reported elsewhere in the financial statements. Segment information for this operating segment is as follows:

|                   | September 30, 2025 | December 31, 2024 | December 31, 2023 |
|-------------------|--------------------|-------------------|-------------------|
| Net loss          | P 1,438,904        | P 4,436,694       | P 1,627,220       |
| Total assets      | 104,227,240        | 105,676,143       | 109,586,235       |
| Total liabilities | 2,144,322          | 2,154,321         | 1,627,719         |

### SCHEDULE: AGING OF ACCOUNTS RECEIVABLE (1)

As of September 30, 2025

| Description                                                                       | Total             | 1 Mo | 2-3 Mo s | 4-6 Mo s | 7 Mos to 1 Yr | 1-2 Yrs | 3-5 Yrs           | 5 Yrs- Above | Past Due account s & Items in Litigatio n |
|-----------------------------------------------------------------------------------|-------------------|------|----------|----------|---------------|---------|-------------------|--------------|-------------------------------------------|
| a)Trade Receivables<br>None<br>(No commercial operation)                          | -                 |      |          |          |               |         |                   |              |                                           |
| b)Non-Trade Receivables<br>1)Advances to Related Parties<br>Impairment/Write-off* | 99,647,260        |      |          |          |               |         | 99,647,260        |              |                                           |
| Sub Total                                                                         | -                 |      |          |          |               |         |                   | -            |                                           |
| Less: Allow. for Doubtful<br>Accounts<br>Impairment/Write-off*                    |                   |      |          |          |               |         |                   |              |                                           |
| Net Non-Trade Receivable                                                          | -                 |      |          |          |               |         |                   | -            |                                           |
| <b>NET RECEIVABLE ( a + b )</b>                                                   | <b>99,647,260</b> |      |          |          |               |         | <b>99,647,260</b> | -            |                                           |

- End -

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this 17Q report to be signed on its behalf by the undersigned thereunto duly authorized in Cebu on October 23, 2025.

**Pacifica Holdings, Inc.**

Issuer

By:



WINCLIP K. CHANG  
President & CEO



MARIA ELENA E. POCONG  
Treasurer